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SUPPLY MANAGEMENT SYSTEM

Functional Overview — Business & Marketing Edition

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Prepared by	Business Analysis Team
Audience	Marketing, Sales, Business Development, Client-Facing Teams
Note	This document describes system functionality and business value only. It does not include database schemas, field-level specifications, APIs, or other technical implementation details. For the full technical Functional Specification Document, contact the Business Analysis or Engineering team.

1 Introduction

1.1 What is the Supply Management System?

The Supply Management System (SMS) is a full-purpose, end-to-end supply chain platform that gives an organisation complete control and visibility over how it sources, purchases, receives, stores, moves, and pays for the goods it needs to operate. It replaces disconnected spreadsheets and manual approval chains with one connected system that every team — procurement, warehouse, finance, and requesters — works from.

1.2 Who It's For

SMS is built for organisations that manage multiple suppliers, multiple warehouses, and multiple currencies, and that need a defensible, auditable trail from “we need this item” all the way through to “the supplier has been paid.”

1.3 The Modules at a Glance

SMS is organised into connected modules that mirror the natural flow of a supply chain:

- **Supplier Management** — onboard, evaluate, and manage vendors
- **Demand Planning & Purchase Requisition** — capture what the business needs and turn it into a request
- **Procurement** — turn requests into purchase orders, with built-in approvals
- **Purchase Order Delivery Lifecycle** — track deliveries through to completion, however they arrive
- **Inventory Management** — know exactly what stock exists, where
- **Order Management** — manage inbound and outbound order flow
- **Warehouse Management** — receive, inspect, store, and dispatch goods
- **Supplier Returns Management** — handle damaged, wrong, or excess deliveries cleanly
- **Logistics & Shipping** — track shipments to their destination
- **Finance & Payments** — match invoices, control payments, and monitor budgets
- **Material Issue & Consumption** — control how stock is used internally, by project or department
- **Reports & Analytics** — see the health of the whole operation at a glance

Each is described in more detail below.

2 Who Uses the System

SMS uses role-based access, meaning every person only sees and does what their job requires — nothing more. This keeps the system safe, simple to use, and auditable.

Role *	*What they do in the system**
System Admin	Configures the system, manages users and roles, has full visibility
Procurement Manager	Approves purchase orders, manages suppliers, quotations, and contracts
Purchase Officer	Raises requisitions, issues purchase orders, tracks deliveries
Inventory Manager	Manages stock levels, adjustments, and warehouse transfers
Warehouse Operator	Receives goods, puts them away, picks and dispatches orders
Finance Officer	Processes invoices and payments, monitors budgets
Requester	Raises purchase requisitions and tracks their own requests
Read-Only / Auditor	Views records and reports across the system without being able to change anything

A core design principle is **separation of duties**: for example, the person who creates a purchase order can never be the same person who approves it, and the person who receives goods can never be the same person who pays for them. This isn't just good practice — it is enforced automatically by the system, which is a strong governance and compliance selling point for security-conscious clients.

The system also includes a dedicated **Role Administration** screen, so an organisation's own administrators can create and adjust roles and permissions as the business evolves, without needing a developer.

3 Module — Supplier Management

Keeps a single, trustworthy record of every supplier an organisation works with.

What it does:

- Maintains a searchable, filterable directory of all suppliers
- Guides new suppliers through a structured onboarding and registration process
- Stores each supplier's contacts, documents, and bank details in one profile
- Supports supplier evaluation and performance rating
- Manages supplier contracts
- Runs a formal supplier approval workflow before a vendor becomes active
- Suppliers can be tagged with multiple industry categories and supplier types, supporting flexible sourcing (e.g. a supplier can be both "Manufacturer" and "Distributor")
- Optional external supplier portal for self-service

Why it matters: buyers always work with accurate, approved, up-to-date supplier information, reducing the risk of dealing with unvetted or blacklisted vendors.

4 Module — Demand Planning & Purchase Requisition

Turns “we need this” into a properly structured, approved request.

What it does:

- Lets any authorised employee raise a Purchase Requisition (PR), with a personal “My PRs” view and a management-wide view
- Routes requisitions through a configurable approval workflow
- Lets Procurement build and send Requests for Quotation (RFQs) to multiple suppliers directly from a requisition or order
- Compares vendor quotations side-by-side to support informed supplier selection
- Converts approved requisitions into Purchase Orders — to a single supplier, or automatically split across several
- Consolidates several small requisitions into one larger purchase order to improve buying power
- Tracks a full PO amendment cycle when terms change after issue
- Provides a demand forecast dashboard and budget-check integration before commitments are made

Supplier Self-Service RFQ Portal: suppliers can now respond to quotation requests directly, through a secure link sent by email or WhatsApp — no login required. This removes the manual step of a Procurement Officer re-typing a supplier’s quoted prices by hand, speeding up the RFQ cycle and reducing transcription errors.

Why it matters: demand is captured, approved, and converted into buying action in one traceable flow, with real competition between suppliers built in.

5 Module — Procurement

Where approved demand becomes a live commercial commitment to a supplier.

What it does:

- Manages the full Purchase Order lifecycle: create, approve, acknowledge, amend, cancel
- Enforces a configurable, value-based multi-level approval chain before any PO reaches a supplier (see Section 8 below)
- Supports blanket / framework orders for recurring purchasing relationships
- Automatically selects and locks in the awarded supplier when a purchase order is created from a completed quotation comparison, with a controlled override path for exceptions
- Lets buyers assign a delivery warehouse per line item, or one warehouse for the whole order, whichever fits the situation

Why it matters: no purchase order leaves the business without the right people signing off on it, and the system actively prevents common ordering mistakes (like ordering against the wrong supplier or losing track of where goods should go).

6 Purchase Order Delivery Lifecycle

Real-world deliveries are rarely one clean shipment that matches the order exactly — SMS is built around that reality rather than around an idealised one.

What it does:

- Tracks delivery, on a line-by-line basis, against every purchase order, so partial deliveries are always visible
- Supports **multiple deliveries (GRNs) against a single PO**, as suppliers ship in batches
- Supports **multiple supplier invoices against a single PO**, and matches each one to what was actually received
- Provides a formal **short-close** process to deliberately close out a purchase order when a supplier will never deliver the remaining balance, with a full record of who approved it and why
- Runs an automatic **three-way match** (purchase order, delivery, and invoice) before any invoice is approved for payment, catching mismatches early
- Automatically closes a purchase order once it is fully received, fully invoiced, and fully paid — with no manual bookkeeping required

Why it matters: finance and procurement always know the true, current status of every order, even when suppliers deliver in pieces or invoice in pieces — a common pain point that spreadsheet-based processes handle very badly.

7 Module — Inventory Management

Keeps a live, accurate picture of stock across every warehouse.

What it does:

- Maintains the master product catalogue for every stock-keeping unit (SKU)
- Shows real-time stock levels by warehouse, zone, and bin
- Supports controlled stock adjustments with an approval step for large adjustments
- Automates reorder rules, so low stock triggers action instead of going unnoticed
- Manages inter-warehouse transfers and cycle counts / stocktakes
- Produces inventory valuation reporting
- Supports optional expiry, batch, and serial number tracking for regulated or perishable goods
- Product Categories and Sub-Categories are managed as their own first-class screens, each with full add/edit/delete control and dedicated navigation — making catalogue housekeeping fast even as the product range grows

Why it matters: the business always knows what it has, where it is, and when it needs replenishing — avoiding both stockouts and over-ordering.

8 Module — Order Management

Manages both inbound (from suppliers) and outbound (to customers or internal departments) order flows, tracking every order's status from creation through to fulfilment, all from one place.

9 Module — Warehouse Management

Runs the physical side of the operation: what comes in, where it's stored, and what goes out.

What it does:

- Configures warehouses, including a **map-based location picker** so every warehouse's physical address is pinpointed accurately
- Organises storage using a full **rack / shelf / bin hierarchy**, so every unit of stock can be traced to an exact physical location, not just "somewhere in the warehouse"
- Manages Goods Receipt Notes (GRNs) — the formal record of goods arriving from a supplier, including the exact receiving date and time
- Makes quality inspection **optional and decided per delivery**, so low-risk goods move through quickly while sensitive or higher-value deliveries get the scrutiny they need
- Provides a dedicated inspection results screen covering every item on a delivery, with a hard rule that stock cannot be posted to inventory until any required inspection is actually completed
- Manages put-away tasks, pick lists, and dispatch preparation
- Supports internal transfer orders and bin-level stock lookups

Why it matters: the warehouse floor and the system agree on reality — every receipt is inspected to the standard the business chooses, and every item can be found by exact location.

10 Module — Supplier Returns Management

Handles the full lifecycle of sending goods back to a supplier — whether they were rejected on arrival, found defective later, or simply the wrong item.

What it does:

- Covers every return scenario: rejected at receiving, defect found after stock was already received, wrong item delivered, or excess/overdelivery
- Runs a formal Supplier Return Order workflow from creation through approval, dispatch back to the supplier, and final resolution
- Automatically adjusts inventory and the original purchase order to reflect what was actually kept versus returned
- Issues **credit notes** (money owed back by the supplier) or **debit notes** (formal financial claims against a supplier who won't resolve a return) as the situation requires
- Sends automatic notifications at each stage of the return

Why it matters: nothing about a supplier return happens informally or gets lost in email threads — every return has a clear owner, approval trail, and financial resolution.

11 Module — Logistics & Shipping

Manages outbound dispatches, carrier assignment, shipment tracking, and delivery confirmation, so the business always knows where an outbound order physically is.

12 Module — Finance & Payments

Manages the financial settlement layer of the supply chain.

What it does:

- Processes supplier invoices and matches them against purchase orders and deliveries
- Schedules and tracks payments through to completion
- Manages accounts payable and budget monitoring
- Issues and tracks credit and debit notes arising from supplier returns

Why it matters: the business never pays for something it didn't order or didn't receive, and always has a clear, current view of outstanding financial commitments.

13 Module — Material Issue & Consumption

Controls how stock, once it's in the warehouse, actually gets used — by a project, a department, or day-to-day operations.

What it does:

- Lets teams formally request materials, with a configurable, value-based approval workflow (the higher the value, the more sign-off required)
- Checks and displays real stock availability before a request is approved, so nobody approves a request the warehouse can't fulfil
- **Reserves** stock the moment a request is approved, so it can't be accidentally issued to someone else in the meantime
- Supports partial issue, so a request can be fulfilled in stages as stock becomes available
- Tracks batch and serial numbers on issued stock where relevant
- Automatically allocates the cost of consumed materials to the correct **project** or **department**, feeding directly into project costing and departmental budgets
- Handles materials returned unused back into stock
- Tracks wastage separately, with its own approval step
- Maintains a full consumption register and stock ledger, so every unit of stock is accounted for from the moment it enters the warehouse to the moment it is consumed

Why it matters: this closes the loop the rest of the system opens — stock isn't just received and stored, it's tracked all the way to its final, costed use, which is essential for any organisation running project-based or departmental cost control.

14 Approval & Control Workflows

Two workflows sit at the heart of SMS's financial and operational control, and are worth calling out on their own because they are a strong differentiator for risk-conscious clients.

14.1 Purchase Order Approval

Every purchase order passes through a configurable, value-based approval chain before it can be sent to a supplier:

- Low-value orders need a single approval
- Mid-value orders need Procurement Manager sign-off as well
- High-value orders add Finance sign-off
- The highest-value orders require senior/executive approval
- A separate fast-track chain exists for genuine emergencies, still with a mandatory second approver

Approval thresholds are fully configurable by the organisation, and the system automatically converts foreign-currency orders using the current exchange rate so thresholds are applied consistently.

14.2 Goods Receipt (GRN) Approval

Every delivery is checked before it is allowed to affect stock or trigger payment. Extra approval is automatically required whenever a delivery is a partial receipt, has a quantity variance beyond the allowed tolerance, fails quality inspection, or exceeds a configured value threshold. A delivery that hasn't cleared its approval never updates inventory and never triggers an invoice match — removing a common source of stock and financial discrepancies.

15 Notifications

The system keeps the right people informed automatically, by email and (for the supplier RFQ portal) WhatsApp, at each key step — approvals needed, deliveries expected, returns in progress — so nothing depends on someone remembering to send an update.

16 Reporting & Business Intelligence

SMS gives management a live, accurate view of the whole operation without waiting for a manual report to be compiled.

16.1 Standard Reports

- Supplier Performance (on-time %, quality score, PO count)
- Purchase Order Summary
- Spend by Supplier
- Pending Approvals (across all modules)
- Stock Level Report

- Reorder Alert Report
- Inventory Valuation
- GRN vs PO Variance
- Shipment Tracker
- Invoice Aging
- Payment Summary
- Budget Utilisation
- Full Audit Trail Log
- User Activity Report

16.2 Key Performance Indicators

The KPI dashboard tracks the metrics that matter most to a supply chain operation, including:

- Purchase order cycle time (requisition to approval)
- Supplier on-time delivery rate
- Purchase order fill rate
- Stock turnover ratio
- Inventory accuracy
- Invoice processing time
- Three-way match rate (invoices auto-matched without exceptions)
- Budget variance
- GRN rejection rate, by supplier
- Reorder trigger frequency

Why it matters: decision-makers get a real-time pulse on supplier reliability, cash commitments, and stock health, instead of finding out about a problem after it has already cost money.

17 Built for Trust: Security & Reliability

Without going into technical detail, a few things worth highlighting to any client evaluating the platform:

- All data is encrypted, both while moving between systems and while stored
- Every login is protected and automatically times out after a period of inactivity
- Every create, update, and delete action anywhere in the system is permanently and immutably logged — nothing can be quietly altered or erased, even by an administrator
- The system is designed to stay fast and responsive even with large volumes of suppliers, orders, and stock records
- The interface works cleanly on both desktop and tablet devices

18 Summary

The Supply Management System takes an organisation from “we need something” through sourcing, approval, ordering, delivery, inspection, storage, internal consumption, returns, and payment — as one

connected, auditable process, with the right person always doing the right job at the right time. It replaces fragmented spreadsheets and email chains with a single source of truth that scales from a single warehouse to a multi-supplier, multi-warehouse, multi-currency operation.

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